# SSLC ACQUISITION

## Board Package — October 12, 2026

DRAFT — NEGOTIATING TERMS — CONFIDENTIAL

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# EXOS OFFER TO SCORPIUS SPACE LAUNCH COMPANY

## Board Overview

John M. Quinn | Cofounder & CEO, Exos Aerospace

October 10, 2026

*CONFIDENTIAL — DRAFT — NEGOTIATING TERMS*

The Decision

# The Board is asked to vote on five motions today.

*That's why Exos has stayed committed to funding this acquisition: fair value for SSLC holders, stability for SSLC's team, and real growth for investors. Together we're stronger than apart.*

**Motion 1:** Approve Exos offer (Option B) + §3 exclusivity (90-day) + ROFR on asset sale
**Motion 2:** Full read-only QB Online access for diligence (Cal. Corp. Code §1602 + AAA §4; under 7/27/2021 NDA)
**Motion 3:** Correct AR Unbilled & Deposits accounting within 5 days (A La Carte + outside CPAs)
**Motion 4:** Consent to ERP/MRP & inventory evaluation using QB data (confidential under NDA)
**Motion 5:** Resolve related-party balances (4/30/2026 entries) — independent accountant; Microcosm/Wertz directors abstain

**These motions protect every SSLC holder outside the Microcosm/Wertz group, including Exos (18.06%), by correcting the books before any payout.**

*Share register (08-2024): Microcosm 32.09% + Wertz 11.80% = 43.90% group (53.6% of non-Exos pool). Exos: 18.06% (157,553 of 872,525 shares). Non-Microcosm/Wertz: 56.1%.*

# Where SSLC Stands Today

**$590K**

**Cash at 10/11**

One IM payment 10/7

**$713K**

**Last quarter revenue**

Most recent reported quarter

**~$1.46M/qtr**

**Required to hit $5.1M**

M1 milestone threshold

*$590K cash at 10/11 came largely from one Intuitive Machines payment on 10/7 for start-billed tanks; a $5.1M year still requires ~2× last quarter's pace starting now. With $1.03M of debt, equity of −$1.44M, and physical-space and single-winder constraints, Exos's offer removes the funding risk and gives SSLC holders direct upside.*

# SSLC Capital & Debt: What's on the Books

## WHAT INVESTORS PAID IN

| | |
|---|---|
| Common stock (Acct 3010) | $1,010,423 |
| APIC (Acct 3020) | $4,042 |
| Total paid-in capital | **$1,014,465** |
| Exos: 18.06% → $790,000 | **~78% of above** |
| Accum. deficit (thru FY26) | **−$2,571,013** |
| FY27 YTD net income (10/11) | **+$112,666** |
| Total equity (10/11/2026) | **−$1,443,882** |

## WHAT SSLC OWES (10/11/2026)

| | |
|---|---|
| Loans & notes (total) | **$1,027,783** |
| Due to Microcosm (Acct 2385) | **$451,429** |
| Notes Payable – Bookstore | **$320,582** |
| SBA EIDL (Acct 2712) | **$132,072** |
| Wertz loan (Acct 2714) | **$92,500** |
| Exos loan (11%; stands) | **$31,200 (~$38K+int)** |
| Total liabilities (10/11) | **$1,296,521** |

*Exos loan: $31,200 at 11%; board denied cancellation — loan stands. Total invested: $790,000 for 18.06% (157,553 shares).*

Exos reconciliation of SSLC's books (Motions 2 & 3) — see next slide →

# Exos Reconciliation of SSLC's Books: As Booked vs. Adjusted

| Account | As Booked 10/11/26 | Exos Adjusted | Equity Impact | Basis |
|---|---|---|---|---|
| 1110 AR Unbilled | $942,177 | $100K–$250K | +$692K–+$842K | Unearned billings; Motion 3 scope |
| 2385 Due to Microcosm | $451,429 | ~$100,429 | +$351,000 | Rent+util credit 50%, Jul '24–Aug '26 |
| 2700 Notes Pay.–Bookstore | $320,582 | $223,280 | +$97,302 | Interest capitalized 4/30/26 (JE #25926) |
| 1480→1481 Loan to Microcosm | $0 | up to $518,201 | +$518K (if unsup.) | Acct 1480; netted 6/30/25 (JEs #25925-26) |
| 2701 Microcosm payable (pre-2024) | $0 | up to $294,499 | +$294K (if undoc.) | No note; no board approval (Mot. 5) |
| 2714 Wertz loan | $92,500 | $92,500 pending | — | Promissory note pending |
| 2720 Exos loan | $31,200 | $31,200 | — | Board denied cancellation; 11% stands |

**Total equity as booked:** **-$1,443,882**

Step 1 credits (+$448K): **-$1,443,882 + $448K ≈ -$996K**

Steps 1+2 (+$967K): **-$1,443,882 + $967K ≈ -$477K**

Steps 1+2+3 (+$1,261K): **-$1,443,882 + $1,261K ≈ -$183K**

*AR correction (1110) tracked separately under Motion 3; range $692K–$842K additional equity improvement if resolved.*

**PER 1% OF SSLC AT CLOSE (1/15/2027, base case | 1% = 8,725 of 872,525 shares | divisor = 82)**

| | | |
|---|---|---|
| As booked (Steps uncorrected): | $1,505,000 / 82 = | **$18.4K** |
| Step 1 credited (+$448K): | $1,953,000 / 82 = | **$23.8K** |
| Steps 1+2 (+$967K): | $2,472,000 / 82 = | **$30.1K** |
| Steps 1+2+3 (+$1,261K): | $2,766,000 / 82 = | **$33.7K** |

# Share Register Check: 08-2024 Register vs. 6/3/2026 Ledger

*Two discrepancies between the Aug 2024 share register and the 6/3/2026 QB stock ledger. Motion 2 corrects the register.*

**Register (08-2024) vs. Ledger (6/3/2026)**

| Holder | Register | Reg % | Ledger | Led % | Diff |
|---|---|---|---|---|---|
| Microcosm | 280,000 | 32.09% | 280,000 | 33.02 | 0 |
| Wertz family | 103,000 | 11.80% | ~103,000 | ~12.1 | — |
| Exos | 157,553 | 18.06% | 132,972 | 15.68 | -24,581 |
| Conger | 73,000 | 8.37% | 29,000 | % | -44,000 |
| Rufer | 91,000 | 10.43% | — | 3.42% | — |
| Other | 167,972 | 19.25% | — | — | — |
| **TOTAL** | **872,525** | **100.0%** | **847,944** | **97.2%** | **-24,581** |

⚠ Exos: 24,581 shares not in 6/3/26 ledger (2021-2024 issuances).
⚠ Conger: cert #3 (44,000 sh.) missing from ledger.
Only cert #43 (29,000 sh.) shown. Motion 2 corrects both.

**Non-Microcosm/Wertz (489,525 sh.) = 56.1% of votes.**

Microcosm/Wertz group 43.9% — cannot unilaterally pass Motion 5.

**Exos $790K Invested — How Accumulated**

| | |
|---|---|
| Nov 2021: initial investment | $450,000 |
| 12/21/2023: follow-on | $60,000 |
| Mar–Apr 2024: follow-on | $250,000 |
| 7/24/2024: $30K loan → equity | $30,000 |
| **Total** | **$790,000** |

**PAID-IN CAPITAL (SSLC Books vs. Register)**

| | |
|---|---|
| Common stock (Acct 3010) | $1,010,423 |
| APIC (Acct 3020) | $4,042 |
| **Total paid-in (books)** | **$1,014,465** |
| Exos portion (books=register) | $790,000 |
| All other holders (books) | $224,465 |
| **Non-Exos at register basis** | **$460,752** |

*Register basis ($461K) exceeds books ($224K). Motion 2 reconciles.*

**VOTING POWER (non-Microcosm/Wertz: Exos 18.06% + Conger 8.37% + Rufer 10.43% + Other 19.25%)**

**489,525 / 872,525 = 56.1% of all votes**

Microcosm/Wertz 43.9% — cannot pass Motion 5 alone.

# The April 30, 2026 Entries: As Found and What They Cost Holders

## Per SSLC's QuickBooks, 4/30/2026

**$426,687** — **Microcosm A/P reclassified to Due to Microcosm**

*Vendor invoices become a fixed insider balance due at close*

**$97,302** — **Interest capitalized into the Bookstore note**

*Increases the payout to Microcosm Astronautics Books*

**$812,699** — **Loans to Microcosm, booked in workers'-comp acct 1480**

*Not a receivable. Netted 6/30/2025 (#25925-26): $294,499 loan payable + $518,201 no invoices Reclassified to acct 1481 on 4/30/2026; now $0*

**Since Jul 2024: SSLC pays 100% of facility costs**

*Microcosm's ~$351K share (rent + utilities) has never been credited*

## Why the Board must review *(appearance, not intent)*

- Every entry favors Microcosm/Wertz-controlled entities and increases what they are paid at close.
- The entries were made under the direction of interested officers and were not approved by disinterested directors (Cal. Corp. Code §310).
- They were made while a director's right to inspect the books was outstanding (Bylaws Art. VII §4).
- They were booked while the acquisition was pending.
- Insider interest was capitalized while Exos, the one outside lender, went unpaid — Microcosm's 2026 short-term loans ($150K) were repaid within months; Exos's $31K loan remains past due.

***Together these create the appearance of self-dealing, which a buyer, fairness-opinion provider or court would question.***

## IMPACT ON SSLC HOLDERS

**~46% of each dollar paid to insiders comes from holders outside the Microcosm/Wertz group**

Step 1 — Facility credit + capitalized interest: **$448K total · Non-Wertz holders lose ~$208K (Conger ~$46K, Rufer ~$57K)**

Step 2 — + Unsupported offsets ($967K total): **Non-Wertz lose ~$449K · Conger ~$99K · Rufer ~$123K · Microcosm would owe SSLC**

Step 3 — Full $812K Microcosm loan undocumented ($1.26M): **Non-Wertz lose ~$585K · Conger ~$129K · Rufer ~$160K**

**Microcosm can resolve this before the vote by supporting Motion 5.**

# What SSLC Shareholders Get (answering Bob Conger)

## Value per 1% of SSLC (= 8,725 shares; 1/82 of non-Exos pool)

| Scenario | Low | Base | High |
|---|---|---|---|
| At close, cash only (as booked) | $15.6K | **$18.4K** | $21.2K |
| At close, Step 1 (+$448K) | $21.1K | **$23.8K** | $26.7K |
| At close, Step 1+2 (+$967K) | $27.4K | **$30.1K** | $33.0K |
| At close, Step 3 (+$1.26M) | $31.0K | $33.7K | $36.6K |

*Per share (base): $2.10 at close · $7.22 over 5 years*

## Bob Conger — 73,000 shares

8.37% of SSLC · 10.21% of payout distributions
*Cert #3 (44,000) + Cert #43 (29,000)*

| | |
|---|---|
| At close (as booked): | **~$153.7K** |
| At close (Step 1 corrected): | **~$199.5K** |
| At close (Step 1+2): | **~$252.4K** |
| At close (Step 3): | **~$282.4K** |

⚠ *SSLC's 6/3/2026 ledger lists only 29K shares (cert #43); cert #3 (44K) is missing.*
*Motion 2 corrects the share register.*

## IMPACT OF UNCORRECTED APRIL 30 ENTRIES (negative to non-Wertz holders)

| | | |
|---|---|---|
| Step 1 — Facility credit + capitalized interest ($448K not credited): | **Per 1%: −$5.5K** | **Conger: −$45.8K** |
| Step 1+2 — + Unsupported offsets if unresolved ($967K): | **Per 1%: −$11.8K** | **Conger: −$98.7K** (Microcosm would owe SSLC) |
| Step 3 — If full $812K Microcosm loan undocumented ($1.26M total): | **Per 1%: −$15.4K** | **Conger: −$128.7K** |

## ✔ SELL TO EXOS

~$18–23K per 1% in cash at close

~$63K per 1% over 5 years (Structure A)

Books corrected (Step 3) · risk removed

*Declining means believing SSLC alone beats this without new capital.*

## ✘ DECLINE

$0 per 1% at book value today (−$1.44M equity)

$5.1M FY27 target still requires doubling last 3mo

Insider balances ($864K as booked) paid first

*Projection, not a guarantee. Amounts estimated from SSLC QuickBooks (10/11/2026) and the 08-2024 share register.*

# What SSLC Holders Receive

| | |
|---|---|
| Cash at close | **$2.51M** |
| SSLC transaction costs | **$60K** |
| Exos stake credit (non-cash) | **$790K** |
| | |
| Working-capital bridge | **$500K** |
| **① Cash at close — target by Feb 15th** | **$3.86M** |
| + Exos equity — EAI units at 409A (Rule 504, ~0.59%) | **$1.0M** |
| **② Total at financing close (SSLC asset acquisition)** | **$4.86M** |

Issued at financing close
Restricted at issuance (Rule 504)
Part of RTO public float
Freely tradeable at listing

# How Value Grows: Earn-Outs & Milestones

| Earn-Out | Target SSLC Must Hit | Low | Base | High | Pays |
|---|---|---|---|---|---|
| 5% of IM tank revenue/yr cap $300K/yr, FY27–FY31 | Revenue SSLC achieves each year FY27–FY31 | $3.0M/yr →$150K/yr →$750K total | $5.0M/yr →$250K/yr →$1.25M total | $6.0M+/yr →$300K/yr (cap) →$1.5M total | Annual FY27–FY31 |
| M1 SSLC FY27 rev ≥$5.1M →$200K | Annual rev ≥$5.1M in FY27 | ✓ | ✓ | ✓ | FY28 Q1 |
| M2 Nebula OTV flight tank set delivered & accepted by IM →$200K | Tank set delivered and accepted by Intuitive Machines | — | ✓ | ✓ | At acceptance |
| M3 SSLC annual rev ≥$10M →$250K | Annual rev ≥$10M | — | ✓ | ✓ | Est. FY29 |
| M4 SSLC annual rev ≥$20M →$250K | Annual rev ≥$20M | — | — | ✓ | Est. FY31 |
| M5 50% reduction in tank build cost (dome & build-process automation proven) →$200K | 50% cost reduction proven (dome & process automation) | — | — | ✓ | Est. FY27–28 |
| Exos stock earn-out at RTO listing (adds to ~0.59% EAI up-front) | Issued at RTO listing | $0 (0.0%) | $625K (0.25%) | $1,500K (0.50%) | Post-RTO ~FY29 |
| **TOTAL EARN-OUTS (③ minus ②)** | | **$950K** | **$2,525K** | **$4,100K** | **5-yr total** |

# Total Offer Value

## ③ 5-Year Total (earn-outs realized)

| Low | Base | High |
|---|---|---|
| $5.8M | $7.4M | $9.0M |
| 5-yr realized | 5-yr realized | 5-yr realized |

## ④ If Exos Stock Held to 2031 (projection)

| Low | Base | High |
|---|---|---|
| $11.5M | $15.3M | $18.9M |
| if held to 2031 | if held to 2031 | if held to 2031 |

*④ is a forward-looking projection, not a guarantee; an alternative to ③, not additive.*

## Offer Value as a Multiple of SSLC Revenue

FY26 actual: $1.925M | FY27 target: $5.1M

| | vs. FY26 actual ($1.925M) | vs. FY27 target ($5.1M) |
|---|---|---|
| ② At close: $4.86M | ~2.5× | ~0.95× |
| ③ 5-year: $5.8M – $9.0M | ~3.0–4.7× | ~1.1–1.8× |
| ④ Max $18.9M (held to 2031) | ~9.8× | ~3.7× |

*Declining this offer is a judgment that SSLC alone, without new capital, is more likely to create more than the $18.9M maximum this offer projects (if Exos stock is held to 2031). Not a guarantee; "projects" is the operative word.*

# The Exos Stock

### Instrument

$1.0M EAI units at the current 409A valuation (~$169.7M); ~0.59% fully diluted at issuance.

### Offering

Part of Exos's Rule 504 Regulation D offering. U.S. persons only. Counts toward the $10M rolling 12-month cap.

### Restricted at issuance

Units carry a restrictive legend at issuance (Rule 504 Reg D). Not freely tradeable prior to the RTO listing.

### Public float at RTO

Structured to be part of the public float at going public. No principals' lockup applies to these units; locked-up shares would not count as float.

### Freely tradeable at listing

Becomes freely tradeable at the RTO listing (no lockup on the up-front units). Covered by the RTO resale registration.

### Timeline

Units issued at financing close. Targeted RTO ~6 months post-financing. Not assured — RTO may not close.

# SSLC Employees

## Employment Offer

Exos shall offer employment to SSLC employees — including management, support, engineering, and other technical and manufacturing employees — on terms no less favorable than their current terms with SSLC, including compensation and benefits.

Subject to each employee satisfying Exos's standard hiring policies and Exos's completion of confirmatory due diligence.

## Key-Employee Option Pool

Exos has an option pool for key employees. The allocation, key-employee retention and new-hire structure will be mutually agreed post-acquisition.

# Exos Funding Commitments

| | |
|---|---|
| **$2.51M cash** | at financing close (target Feb 15th) |
| **SSLC transaction costs** | at financing close (target Feb 15th) |
| | |
| **Working-capital bridge $500K** | at financing close (target Feb 15th) |
| **$1.0M Exos stock (EAI units, Rule 504)** | at financing close (target Feb 15th) |
| **Capital in the new year — physical space and a second winder** | (amount TBD; committed at financing close) |
| **Employment offers + option pool** | at financing close (target Feb 15th) |
| **Earn-outs on milestones and tank revenue** | FY27–FY31 as triggered |

**Five motions today: approve offer + §3 exclusivity + ROFR → 90-day window → financing close target Feb 15th**

# Projected Shareholder Payout — Close Jan 15, 2027 (Base Case, Current Books)

## Cash to Shareholders at Close

| | |
|---|---|
| Exos cash purchase price | +$2,510,000 |
| *+ SSLC cash at close (est.; $590K on 10/11)* | *+$675,000* |
| Subtotal inflows | **$3,185,000** |
| – SSLC loans & notes | ($1,027,783) |
| – Other current liabilities (AP, accruals) | ($148,738) |
| – Customer deposits (IM, transferred) | ($120,000) |
| – Billed-ahead work, genuine (Exos est.) | ($250,000) |
| – 5% escrow holdback (released 12 months) | ($125,500) |
| **Net cash distributable at close** | **~$1.51M** |
| + Exos stock (EAI units, Rule 504, 409A) | +$1,000,000 |
| + Escrow release at 12 months | +$126,000 |
| + Earn-outs base case (FY27–FY31) | +$2,525,000 |
| **~5-year total to SSLC shareholders** | **~$5.16M** |

## What Shareholders Paid In vs. Will Receive

**PAID-IN CAPITAL (per SSLC books)**

| | |
|---|---|
| Common stock | $1,010,423 |
| Additional paid-in capital (APIC) | $4,042 |
| Total paid-in capital | **$1,014,465** |

*Exos: $790,000 for 18.06% — recognized via $790K stake credit in price*

*All other holders: ~$224,000 combined for 81.94%*

*Invested largely 25+ yrs ago (per John Quinn; to be confirmed via stock ledger). Exos: 2021–2024.*

**PROJECTED RETURN (OTHER HOLDERS, 81.94%)**

| | |
|---|---|
| Cash + stock at close (est.) | ~$2.5M |
| Total over 5 years incl. earn-outs | ~$5.2M |
| Implied return on invested capital | **11× at close / 23× over 5** |

### ⚠ NOT YET CREDITED TO SSLC HOLDERS

Step 1: Facility credit ~$351K (Microcosm 50% rent+util, Jul 2024-Aug 2026)
+ Bookstore capitalized interest $97K = $448K not credited to SSLC holders.
**Net cash at close: ~$1.51M (as booked) → ~$1.95M (Step 1 applied).**
Adjusted: Due to Microcosm → ~$100K; Bookstore note → $223K.
Paid-in: books $224K (non-Exos); register basis $461K (Motion 2).
Exos: $790,000 for 18.06% (157,553 shares).

## Why We Need the Stock Ledger (Motion 2)

- Books show $1,014,465 total paid-in; the stock ledger allocates it by shareholder.
- Ledger confirms cap structure: which shares were issued for cash vs. debt conversion.

*Projection based on SSLC books 10/11/2026 + Exos offer terms. Low/high: net cash $1.28M–$1.74M; 5-yr $3.4M–$7.0M. Not a guarantee.*

# Board Motions

**1** **Approve Exos's Offer, Confirm §3 Exclusivity and Grant a ROFR**

The Board approves the Exos offer (Option B terms), confirms Exos's 90-day §3 exclusivity under the May 2025 Asset Acquisition Agreement, and grants Exos a right of first refusal on any sale of SSLC's assets or a controlling interest.
ROFR term: 6 months from approval; auto-extends while a definitive APA is under negotiation.

☐ Approve
☐ Decline

**2** **Grant Full Read-Only QuickBooks Online Access for Diligence**

Authorize all-access QB Online for John Quinn + one Exos finance reviewer.
Provide: stock ledger, cap table, subscription agreements, paid-in capital by shareholder.
Deadline: Oct 15, 2026. §1602 inspection right + AAA §4. NDA 7/27/2021.

☐ Approve
☐ Decline

**3** **Correct AR Unbilled / Customer-Deposit Accounting Within 5 Days**

Direct A La Carte Solutions + Singer Lewak / Welch & Co. to reconcile within 5 days:
- Acct 1110 AR Unbilled ($942,177) and Acct 2380 Customer Deposits ($120,000).
- Clear start-billings on shipped tanks; post Jul–Sep 2026 revenue-recognition entries.
- Tank recon (IM-109/122/134, EXOS-133) + corrected balance sheet to all directors.

☐ Approve
☐ Decline

**4** **Consent to ERP/MRP & Inventory Evaluation (Separate Motion)**

Authorize Exos to use the QB data to evaluate compatible ERP/MRP and inventory systems.
Evaluation only; no implementation obligation. Confidential under the NDA.

☐ Approve
☐ Decline

*Governance: John Quinn abstains on Motions 1 and 4 (Exos is the counterparty); Motions 2 and 3 are decided by the full Board.*

# Board Motions (continued)



## 5 Resolve Related-Party Balances (April 30, 2026 Entries)

☐ Approve
☐ Decline

The Board directs the following:

1. Treat the April 30, 2026 journal entries as disputed, pending independent review. Microcosm and the Bookstore (Microcosm Astronautics Books) shall provide invoice and agreement support for each netting offset and for the Bookstore and Wertz notes.

2. Credit Microcosm's share of SSLC's facility costs since July 2024 against the "Due to Microcosm" balance, unless a written agreement signed by disinterested directors provides otherwise.

3. No payment, netting, security interest, or further accrual of interest on the Microcosm, Bookstore, or Wertz balances without prior approval of the disinterested directors of SSLC.

4. An independent accountant chosen by the disinterested directors shall reconcile these balances and the AR Unbilled / Customer-Deposit accounts within 30 days.

Governance: Interested directors J. Wertz and A. Wertz abstain on Motion 5 (Cal. Corp. Code §310). Motion 5 is decided by the disinterested directors: J. Quinn, M. Rufer, R. Conger.

# Path to Close

1. **Board Votes — Five Motions**
   Today — action requested at this meeting
2. **90-Day Exclusivity Window**
   Negotiation and diligence period begins
3. **Definitive Agreement**
   Key terms, employee pool, earn-out detail finalized
4. **Financing Close — target Feb 15th**
   Cash at close + EAI units issued; ① + stock = ②
5. **Targeted RTO**
   ~6 months post-financing; units tradeable at listing (not assured)

**The Board is asked today to vote on Motions 1–5: approving the Exos offer and granting exclusivity + ROFR (Motion 1), QB access (Motion 2), accounting correction (Motion 3), and ERP evaluation (Motion 4), and related-party balances (Motion 5). Declining Motion 1 is a judgment that SSLC alone — without new capital — is more likely to create more than the $18.9M maximum this offer projects (if Exos stock held to 2031). Not a guarantee; "projects" is the operative word.**

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# EXOS AEROSPACE — SSLC OPTION B: ACQUISITION OFFER SUMMARY

*October 9, 2026 · Exos Aerospace Systems & Technologies, Inc.*

## 1. What SSLC Holders Receive

*Up-front price reflects today's numbers; earn-outs let SSLC holders share directly in tank deliveries, revenue milestones, and the Exos listing.*

*Earn-out rows: negotiating terms — management assumptions. Each milestone is independently verifiable; none pay unless the trigger is met.*

| Component | Low | Base | High | When / Notes |
|---|---|---|---|---|
| Cash at close | $2,510K | $2,510K | $2,510K | Close target Feb 15th (~Q1 FY27) |
| SSLC transaction costs | $60K | $60K | $60K | Close; seller-side |
| Credit for Exos's existing stake | $790K | $790K | $790K | Close (non-cash credit) |
| Working-capital bridge | $500K | $500K | $500K | Close |
| **① Cash at close — target by Feb 15th** | **$3,860K** | **$3,860K** | **$3,860K** | **Cash + costs + stake credit + WC bridge** |
| + Exos equity — $1.0M fixed EAI units (Rule 504, ~0.59% at 409A ~$170M) | $1,000K | $1,000K | $1,000K | EAI units issued as part of Exos's Rule 504 offering, at the 409A value; $1.0M counts toward Rule 504 $10M cap; issued at financing close |
| **② Total at financing close (SSLC asset acquisition)** | **$4,860K** | **$4,860K** | **$4,860K** | **Target: Feb 15th** |
| Tank earn-out: 5% of SSLC's IM tank revenue/yr, cap $300K/yr, FY27–FY31 | $750K | $1,250K | $1,500K | Single 5% rate; scenario = revenue SSLC achieves: Low $3M/yr → $150K/yr; Base $5M/yr → $250K/yr; High $6M+/yr → $300K/yr (cap) |
| Milestone M1: SSLC FY2026-27 rev ≥$5.1M | $200K | $200K | $200K | Pays FY28 Q1 if verified (all scenarios: mgmt base case) |
| Milestone M2: Nebula OTV flight tank set delivered & accepted by Intuitive Machines | — | $200K | $200K | Pays at customer acceptance (any year FY27–FY30) |
| Milestone M3: SSLC annual rev ≥$10M | — | $250K | $250K | Pays first year threshold hit (est. FY29 at base/high) |
| Milestone M4: SSLC annual rev ≥$20M | — | — | $250K | Pays first year threshold hit (est. FY31 at high) |
| Milestone M5: 50% reduction in tank build cost (dome & build-process automation proven) | — | — | $200K | Pays when 50% cost reduction proven (est. FY27–FY28) |
| Exos stock earn-out at listing (on top of ~0.59% EAI up-front) | $0 | $625K | $1,500K | Post-RTO ~FY29; earn-out 0.0%/0.25%/0.5% FD; lockup same as Exos principals. At 409A: $0/$424K/$848K. Total Exos equity: ~0.59%/~0.84%/~1.09%. |
| **③ TOTAL OFFER VALUE, 5-yr (② + earn-outs; earn-out stock at listing)** | **$5,810K** | **$7,385K** | **$8,960K** | **FY27–FY31. HIGH < $10M target — not rebalanced.** |
| **IF HELD: all Exos stock projected in FY2031 (replaces listing earn-out)** | **$6.7M** | **$9.6M** | **$12.4M** | **Total stake ~0.59/0.84/1.09% → ~0.41/0.59/0.76% after ~30% dilution × ~$1.63B FY31 EV (16× v12 EBITDA). Projection only; on SSLC-actuals case ~$0.7–1.3M.** |
| **④ TOTAL IF STOCK HELD TO 2031 (① + tank + milestones + 2031 stock)** | **$11.5M** | **$15.3M** | **$18.9M** | **Alternative to ③, NOT added to it. Forward-looking projection, not a promise; RTO may not close.** |

### Earn-Out Targets: FY27–FY31

| Earn-out | Target SSLC must hit | Low | Base | High | Pays |
|---|---|---|---|---|---|
| Tank earn-out 5% of IM tank revenue/yr, | Revenue SSLC achieves each year FY27–FY31 | $3.0M/yr → $150K/yr | $5.0M/yr → $250K/yr | $6.0M+/yr → $300K/yr | Annual, FY27–FY31 |

| | | | | | |
|---|---|---|---|---|---|
| cap $300K/yr, FY27–FY31 | | → $750K total | → $1.25M total | (cap) → $1.5M total | |
| M1: SSLC FY2026-27 rev ≥ $5.1M → $200K | SSLC FY27 annual revenue ≥ $5.1M | ✓ | ✓ | ✓ | FY28 Q1 (if verified) |
| M2: Nebula OTV flight tank set delivered & accepted by Intuitive Machines → $200K | Tank set delivered and accepted by IM | — | ✓ | ✓ | At customer acceptance |
| M3: SSLC annual rev ≥ $10M → $250K | SSLC annual revenue ≥ $10M | — | ✓ | ✓ | First yr hit (est. FY29) |
| M4: SSLC annual rev ≥ $20M → $250K | SSLC annual revenue ≥ $20M | — | — | ✓ | First yr hit (est. FY31) |
| M5: 50% reduction in tank build cost (dome & build-process automation proven) → $200K | 50% cost reduction proven via dome & process automation | — | — | ✓ | When proven (est. FY27–28) |
| Exos stock earn-out at RTO listing (additional to ~0.59% EAI up-front) | Issued at RTO listing | $0 (0.0%) | $625K (0.25%) | $1,500K (0.50%) | Post-RTO ~FY29 |
| **TOTAL EARN-OUTS (5-yr, ③ minus ②)** | | **$950K** | **$2,525K** | **$4,100K** | |

*Earn-out totals verified: Low $750K+$200K+$0=$950K ✓ Base $1,250K+$650K+$625K=$2,525K ✓ High $1,500K+$1,100K+$1,500K=$4,100K ✓ (each = ③ minus ② = ③ minus $4,860K)*

*EAI units: $1.0M fixed (~0.59% FD) issued as part of Rule 504 offering at close; part of RTO public float; freely tradeable at listing (no lockup). Earn-out stock (0.0–0.5% additional) at RTO listing. Full model: EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx → 'EAI Lockup & Liquidity' and 'Total Compensation' sheets.*

## 3. Key Terms

| Term | Detail |
|---|---|
| **Agreement basis** | May 2025 Asset Acquisition Agreement, §3 exclusivity trigger |
| **Total commitment** | $4,860,000 base at close ($2.51M cash + $60K costs + $790K Exos stake credit + $500K WC + $1.0M EAI equity at 409A, Rule 504) |
| **Exclusivity period** | 90 days from SSLC confirmation; extension not unreasonably withheld (§3) |
| **Holdback (§7)** | 5% escrow, released at 12-month anniversary |
| **SSLC debts** | Not assumed by Exos; SSLC's own responsibility. Removed from offer 10/10. |
| **SSLC employees** | Exos offers employment to SSLC employees on terms no less favorable than current (incl. comp & benefits), subject to Exos hiring policies + confirmatory diligence; key-employee option pool set in the Definitive Agreement |
| **Status** | DRAFT — NEGOTIATING TERMS — not a final or binding offer |

*Rule 504: $1.0M toward $10M rolling 12-month cap; U.S.-only (Japan round is Reg S — keep distinct). EAI timeline: committed at board acceptance → issued at financing close (Q1 FY27 targeted) → freely tradeable at RTO listing (targeted ~6 mo post-close; not assured). Full detail: model → 'EAI Lockup & Liquidity' sheet.*

*Full model: EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx · With-vs-Without: sheet 'With vs Without Exos Capital' · Eqvista fairness opinion: engaged 8/14/2026; agreement still unsigned (held ~1 month). Projections are forward-looking (SEC Rule 10b-5 applies); RTO stock projection (mgmt assumption, not a guarantee): see model 'Total Compensation' / 'Returns and Dilution' · Exclusivity rescue options: SSLC_Exclusivity_Rescue_Options_and_Draft_Message_2026-10-07_DRAFT_v2.docx*

**DRAFT — INTERNAL — NEGOTIATING TERMS — John Quinn, CEO, Exos Aerospace — 2026-10-09**

To: Jim Wertz, Chairman, and the SSLC Board of Directors

From: John M. Quinn, SSLC Director; Cofounder & CEO, Exos Aerospace Systems & Technologies, Inc.

Subject: Request for full QuickBooks access: billed-ahead review before close

Jim and members of the Board,

To finalize what SSLC shareholders receive at the acquisition close, we need to resolve the $942,177 shown as "billed ahead of work performed" on SSLC's October 11 balance sheet. I believe that figure does not reflect how SSLC actually starts and bills tanks, and it directly affects the close math. SSLC bills Intuitive Machines about 40% at the start of each tank; we believe those start-billings are not being cleared as tanks ship, which would overstate this balance.

I'm requesting full, read-only QuickBooks Online access for me and Exos's finance reviewer (an all-access user or accountant user, not reports-only), so we can review:

- Invoice and payment detail by customer, with the contract or PO behind each invoice
- Progress/milestone billing and revenue-recognition settings
- Tank start, build-status and delivery dates mapped to each invoice
- Customer deposits ($120,000) and any job or project costing
- The audit log for entries affecting these accounts
- Facility expenses (rent, utilities and similar) since January 2024, including amounts paid on behalf of Microcosm, Inc.
- SSLC’s stock ledger, cap table, subscription agreements and paid-in capital by shareholder (SSLC’s books show $1,014,465 total paid-in capital; we need the per-holder detail to compare each shareholder’s payout at close with what they invested)

As a director I have the right to inspect SSLC's books and records (Cal. Corp. Code § 1602: https://codes.findlaw.com/ca/corporations-code/corp-sect-1602/). This review is also part of the confirmatory diligence contemplated under our May 2025 Asset Acquisition Agreement. All information stays confidential under our July 27, 2021 NDA.

In the interest of full disclosure: with the Board's consent, Exos would also like to use the same books data to evaluate its in-house ERP/MRP and inventory systems against other options for the combined operation. Because these systems are built in-house, they could offer significant savings compared with outside solutions. This use is separate from the review above. It would happen only if the Board agrees, and the data would stay confidential under our NDA.

Could you grant access no later than October 15, 2026? Once the balance is reconciled, I'll share the analysis with the full board so we can agree on the figures at close.

I have also asked the Board to direct SSLC’s accounting firm to correct these accounts within five days.

Thank you,

**John M. Quinn**

Director, Scorpius Space Launch Company

Cofounder & CEO, Exos Aerospace Systems & Technologies, Inc.

# Acquisition Due Diligence: Related-Party Accounting Questions

To: SSLC Board of Directors and SSLC's accounting firm (A La Carte Solutions; Singer Lewak / Welch & Co. as applicable)
From: John M. Quinn, SSLC Director; Cofounder & CEO, Exos Aerospace Systems & Technologies, Inc.
Date: October 12, 2026
Re: Balances owed to Microcosm, Inc. and Microcosm Astronautics Books: confirmatory diligence for the proposed asset acquisition

As part of Exos's confirmatory diligence, we ask SSLC to document and explain the balances below. These are accounting questions, raised so that every shareholder (including Exos, an 18.06% holder) can rely on the figures used at close. All figures are from SSLC's QuickBooks (Balance Sheet as of 10/11/2026; Transaction Detail by Account, 1/1/2024–10/12/2026). Information stays confidential under the July 27, 2021 NDA.

## 1. Financial position (per SSLC's books)

| Item | Amount |
|---|---|
| Cash (10/11/2026) | $590,344 |
| AR Unbilled, billed ahead of work (10/11/2026) | ($942,177) |
| Customer deposits | $120,000 |
| Due to Microcosm, Inc. (2385) | $451,429 |
| Notes Payable, Bookstore / Microcosm Astronautics Books (2700) | $320,582 |
| Loan Payable, Wertz (2714) | $92,500 |
| SBA EIDL (2712) | $132,072 |
| Loan Payable, Exos (2720), past due | $31,200 + interest |
| Total liabilities | $1,296,521 |
| Total paid-in capital (Common $1,010,423 + APIC $4,042) | $1,014,465 |
| Retained earnings / FY27 YTD net income | ($2,571,013) / $112,666 |
| Total equity | ($1,443,882) |
| Microcosm receivable (1435) / Loan to Microcosm (1481) | $3,529 / $0 |

## 2. Activity with Microcosm entities (per SSLC's books)

- Cash paid by SSLC to Microcosm, Inc. / Microcosm Astronautics Books: $598,794 (2024), $687,286 (2025), $26,136 (2026 YTD).
- Facility costs carried by SSLC (rent, utilities, misc. facilities): $235,037 (2024), $321,547 (2025), $248,553 (2026 YTD), about $805K in total. These were paid through Microcosm invoices through December 2025 and directly to the landlords since January 2026.
- No facility costs are charged back to Microcosm on SSLC's books, although Microcosm continues to occupy and be identified at 3111 Lomita Blvd.
- 4/30/2026 vendor credit: $426,687.03 reclassified from Accounts Payable (Microcosm Inc) to 2385 Due to Microcosm.

- 4/30/2026: $97,301.73 of interest owed to Microcosm Astronautics Books moved into 2700 Notes Payable–Bookstore.
- 4/30/2026: $32,945.99 of 1481 Loan to Microcosm offset against Accounts Payable ('Offset reimbursable against loan').
- 2026 monthly Microcosm invoices booked to 2385 (e.g., "Judy's assistance with SSLC accounting", "AP Paid by Mic"): about $24.7K.

## 3. Questions for SSLC and its accounting firm

1. Please provide the invoice-level detail (date, invoice number, description, amount, payments applied) supporting the $426,687 reclassified to Due to Microcosm on 4/30/2026, and the full $451,429 balance.

2. What goods or services does each Microcosm invoice represent (rent pass-through, labor, materials, accounting, other)? For any labor, which SSLC jobs did it support?

3. Who approved the 4/30/2026 entries (the $426,687 reclass, the $97,302 interest capitalization, the $32,946 offset)? Please provide any board minutes or written consents authorizing them.

4. What agreement governs Microcosm's use of the shared facility at 3111 Lomita Blvd (lease, sublease, cost-sharing)? What square footage and share does each company occupy, and why is no portion of rent, utilities or facility costs charged to Microcosm?

5. For the ~$1.31M paid to Microcosm entities in 2024–2025: please break it down by category and invoice, and identify any amounts that were Microcosm's own costs.

6. Bookstore note ($320,582): please provide the note, its terms (principal, rate, maturity, security), the borrowing history, and the basis and approval for capitalizing $97,302 of interest.

7. Wertz loan ($92,500): please provide the note, terms and any approvals.

8. Were any of these related-party arrangements disclosed to and approved by the disinterested directors or the shareholders (Cal. Corp. Code §310)? Please provide the records.

9. Are any amounts owed BY Microcosm or Microcosm Astronautics Books TO SSLC (shared costs, reimbursables, the former 1481 loan) that are not booked?

11. Rent split: from January to June 2024 SSLC paid Microcosm $11,470/month, about 50% of the $23,647 facility rent. From July 2024 SSLC paid 100% ($23,647/month, then $24,238 in 2025, then $24,844 paid directly to the landlords in 2026). What changed in July 2024, who approved it, and why is Microcosm's ~50% share (~$316K of rent plus ~$35K of utilities, July 2024–August 2026) not credited against the $451,429 Due to Microcosm? Utilities show the same pattern: about $1,059/month in January–June 2024, then about $2,727/month from July 2024.

12. Loan to Microcosm (1481): SSLC's books show SSLC lent Microcosm $812,699 between 2019 and October 2025 (booked 4/30/2026), then netted it entirely on 4/30/2026 against Microcosm balances ($294,499 Loan Payable–Microcosm; $423,965 pre-6/2025 reimbursables; $61,290 "Judy's time";

$32,946 reimbursable). Please provide the invoices supporting each offset balance, and confirm why $451,429 remains due to Microcosm after SSLC's $812,699 of loans.

13. Please confirm that no related-party debt will be repaid, prepaid or secured before close without disinterested-director approval.

14. Why were SSLC's loans to Microcosm recorded in 1480 Workman's Comp Over/Under rather than a receivable? Please provide the 2019–2023 transfers, the support for the pre-2024 $294,499 Loan Payable–Microcosm, and the approvals for JEs #25925/#25926 (6/30/2025) and the 2026 Microcosm loans and repayments.

## 4. Requested documents (by October 15, 2026, with the QuickBooks access request)

- Vendor ledgers and all invoices for Microcosm, Inc. and Microcosm Astronautics Books, Jan 2024 to date
- Leases, subleases and any cost-sharing or services agreements with Microcosm entities
- Notes and loan agreements: Bookstore, Wertz, Microcosm
- Board minutes and resolutions relating to Microcosm/Bookstore transactions and the 4/30/2026 entries
- Stock ledger, cap table and subscription agreements (paid-in capital by shareholder)

These questions are raised as standard acquisition diligence so that the figures used at close are complete and supportable. Once answered, Exos will share its reconciliation with all directors.

John M. Quinn
Director, Scorpius Space Launch Company
Cofounder & CEO, Exos Aerospace Systems & Technologies, Inc.